

		Overall, it is not at all clear that Agile PC is in danger of material harm from Defendants, such that the drastic remedy of appointing a receiver would be warranted. Accordingly, the motion is denied. <u>Requests for Judicial Notice</u> Plaintiff's requests for judicial notice are GRANTED. <u>Objections</u> Defendants' Objection Nos. 1-73 to the Nguyen Declaration are OVERRULED. Plaintiff's objection Nos. 1-2 to the Gold Declaration are SUSTAINED for lack of foundation. Objection Nos. 3-9 to the Gold Declaration are OVERRULED. Plaintiff's objection Nos. 1-2, 4, 6, and 7 (as to the first two sentences only) to the Murray Declaration are OVERRULED. Objection No. 3 is SUSTAINED for lack of foundation, No. 5 is SUSTAINED for lack for improper lay opinion, improper legal conclusion, and relevance, No. 7 as to the attempted authentication of Exhibit B is SUSTAINED for lack of foundation. Plaintiff's objection Nos. 1-10, 12-41 to the Yadidi Declaration are OVERRULED. Objection No. 11 is SUSTAINED for lack of foundation. The Court declines to rule on the remainder of the objections as immaterial to the disposition of this motion. Plaintiff to give notice.
107	Lorenzini vs. Revolashion, LLC 26-01547153	Motion for Sanctions Defendants Ilona Alidzaeva and Alexandre Lamothe ("Defendants") move for an order granting monetary

		sanctions against plaintiff Annemarie Lorenzini (“Plaintiff”) and dismissing the first through seventeenth causes of action pursuant to Code of Civil Procedure section 128.7. Defendants seek judicial notice of a California Secretary of State Certificate of Cancellation/Withdrawal, Texas Workforce Commission records pertaining to Plaintiff’s claim for unemployment benefits, and the TWC’s Issue Decision Log. The uncontested request for judicial notice is GRANTED but the Court does not take judicial notice of the truth of the matters asserted in the documents. “While [courts] may take judicial notice of court records and official acts of state agencies [citation], the truth of matters asserted in such documents is not subject to judicial notice.” (Arce v. Kaiser Foundation Health Plan, Inc. (2010) 181 Cal.App.4th 471, 482.) An attorney who presents a pleading, motion or similar paper to the court makes an implied certification as to its legal and factual merit; and is subject to sanctions for violation of this certification. (Code Civ. Proc., § 128.7; Murphy v. Yale Materials Handling Corp. (1997) 54 Cal.App.4th 619, 623.) Upon finding that subdivision (b) has been violated, the Court may impose “an appropriate sanction upon the attorneys, law firms, or parties that have violated subdivision (b) or are responsible for the violation.” (Code Civ. Proc., § 128.7(c).) Sanctions must “be limited to what is sufficient to deter repetition of this conduct or comparable conduct by others similarly situated.” (Id. § 128.7(d).) Defendant Alidzaeva avers that throughout Plaintiff’s employment, Plaintiff resided in Texas and Missouri, not California. (Declaration of Ilona Alidzaeva ¶ 2.) Plaintiff never traveled to California to perform any work for Revolashion. (Id. ¶ 4.) Plaintiff does not dispute that she did not live in California during her employment. Further, Revolashion was originally organized as a Texas limited liability company and
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subsequently became a Florida limited liability company with a principal place of business in Florida. (Id. ¶ 3.) While Revolashion previously had registered to do business in California, it withdrew its registration on February 14, 2024, well before any of the alleged adverse conduct against Plaintiff took place.

In *Ward v. United Airlines, Inc.* (2020) 9 Cal.5th 732, the California Supreme Court considered whether pilots and flight attendants who resided in California but mostly worked outside of the state were entitled to receive wage statements that meet the requirements of California law. The Court concluded “that whether plaintiffs are entitled to California-compliant wage statements depends on whether their principal place of work is in California.” (Id. at p. 740.) In its discussion, the Court cites to the long-standing presumption against extraterritoriality which provides that “state law is intended to apply only within state borders.” (Id. at p. 749.) While there are some exceptions, “courts ordinarily will not give extraterritorial effect to legislative enactments absent an affirmative indication that such was the Legislature’s intent.” (Ibid.)

In its discussion, the Court noted that “when it comes to the regulation of interstate employment, it is not sufficient to ask whether the relevant law was intended to operate extraterritorially or instead only intraterritorially, because many employment relationships and transactions will have elements of both. The better question is what kinds of California connections will suffice to trigger the relevant provisions of California law.” (Id. at p. 752.) Further, “each law must be considered on its own terms.” (Ibid.) The Court held that for purposes of Labor Code section 226, “workers are covered if they perform the majority of their work in California; but if they do not perform the majority of their work in any one state, they will be covered if they are based for work purposes in California.” (Id. at pp. 755-756.)

In *Campbell v. Arco Marine, Inc.* (1996) 42 Cal.App.4th 1850, the Court of Appeal stated that applying the FEHA in an employment action where the relationship with California is slight “would raise serious constitutional concerns[] [because] ‘[t]he Commerce Clause . . . precludes the application of a state statute to commerce that takes place wholly outside of the State’s borders, whether or not the commerce has effects within the State.’ ” (Id. at p. 1858.) The Court further noted: “In addition, both the due process clause and full faith and credit clause are implicated when a state seeks to impose its laws where there are no significant contacts or aggregation of contacts creating state interests.” (Ibid.) The Court held that, based on the Legislature’s apparent intent, the FEHA “should not be construed to apply to nonresidents employed outside the state when the tortious conduct did not occur in California.” (Id. at p. 1860.)

Here, there are no California connections to this action or to the alleged misconduct sufficient to trigger the application of California labor and employment law. Further, the presumption against extraterritoriality applies to Plaintiff’s UCL cause of action. (*Sullivan v. Oracle Corp.* (2011) 51 Cal.4th 1191, 1207 [“Neither the language of the UCL nor its legislative history provides any basis for concluding the Legislature intended the UCL to operate extraterritorially. Accordingly, the presumption against extraterritoriality applies to the UCL in full force.”].) Thus, the Court finds that the first through fifth and eleventh through seventeenth causes of action have no basis in existing law.

Defendants argue that the sixth cause of action for constructive discharge fails because Plaintiff’s sworn statement to the TWC characterized her separation as caused by unannounced pay cuts and a shift in her duties, none of which describes a constructive discharge based on FEHA-protected status, and the

		TWC concluded that Plaintiff had not established good cause for her quitting and that her hours had been reduced for personal reasons. Plaintiff’s TWC submission states that her pay was cut without notice two times to the point that it was unsustainable for her to continue working and afford childcare. Under Texas law, “[c]onstructive discharge is ‘an employee’s reasonable decision to resign because of unendurable working conditions.’” (Drew v. City of Houston (Tex.Ct.App. 2023) 679 S.W.3d 779, 786.) “The key inquiry for constructive discharge does not focus on whether a particular employee felt compelled to resign; instead, it focuses on whether a reasonable employee would have felt compelled to do so.” (Ibid.) Here, Defendants have not shown that a reasonable employee would not have felt compelled to resign as a result of the alleged pay cuts. Further, Defendants have not shown that the TWC’s findings are binding in this action. Thus, the Court finds that Defendants’ arguments that the constructive discharge cause of action fails lack merit. Defendants argue that the tenth cause of action for negligent hiring, supervision, and retention fails because Plaintiff admitted in her TWC that she was the only W-2 employee of Revolashion during her tenure. However, Plaintiff alleges that although she was the sole United States-based employee, she managed a team of three to four employees located elsewhere. Defendants have not shown that there were other possibly non-W-2 employees of Revolashion during Plaintiff’s tenure. Thus, their arguments regarding the negligent hiring cause of action also fail. Defendants do not challenge the causes of action for breach of contract, breach of the implied covenant of good faith and fair dealing, and promissory estoppel. Based on the above, the Court concludes that the causes of action pursuant to California statutes were not warranted by existing law and were filed without
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		any evidentiary support. Thus, Plaintiff's assertion of those causes of action was in violation of section 128.7(b)(2) and (b)(3). Moreover, Plaintiff failed to withdraw those unwarranted causes of action despite Defendants' compliance with the safe harbor period. Therefore, Defendants' Motion for Sanctions striking the first through fifth and eleventh through seventeenth causes of action are GRANTED. The Court "may award to the party prevailing on the motion the reasonable expenses and attorney's fees incurred in presenting or opposing the motion" if warranted. (Code Civ. Proc., § 128.7(c)(1).) Here, Plaintiff failed to withdraw the unmeritorious causes of action after being given the opportunity to do so during the safe harbor period. Further, Plaintiff has not presented any persuasive argument regarding the viability of her statutory claims for work that was performed outside of this state by an employer that is not based in this state or doing business in this state. Monetary sanctions for Defendants' reasonable expenses and attorneys' fees incurred in bringing this Motion are warranted to deter future frivolous filings. Defendants seek \$12,060 in monetary sanctions. The Court finds the amount to be significantly inflated and instead awards Defendants \$4,000 in monetary sanctions against Plaintiff's counsel only. (Code Civ. Proc., § 128.7(d)(1).) Moving party to give notice.
108	Mejia Villa vs. Castaneda 23-01314626	Motion for Sanctions Pursuant to RP, the "Motion to Dismiss Pursuant to Code of Civil Procedure Section 583.210 must be heard prior to any ruling on the instant Motion because Code of Civil Procedure Section 583.250 prohibits any further proceedings or prosecution of this action, as service of process was never effectuated on numerous named defendants, who are necessary parties, and